Type MS · Liquidity and how useful accounting ratios are

Answer 1 of 4 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**A02 - 2 marks** 22.80 x 17 387.60 x 0.15 = 58.14 **(1)** 387.60 – 58.14 = 329.46 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the usefulness to *TBTS* of the acid test ratio. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *TBTS* can find it useful to use these ratios as they can see it increases from 0.75 in 2018 to 0.88 in 2020 • *TBTS* can use it to see that they may need to take out any short-term finance for new projects such as the range of new toys for 4-year-olds **AO3** • This can help *TBTS* see if they have enough cash to cover any short-term debts to creditors such suppliers of toys and help them to keep a good relationship with the suppliers by paying on time. • The ratios show they need to be cautious as each year the acid test ratio is below 1	**(6)**

Type MS · Liquidity and how useful accounting ratios are

Answer 1 of 4 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Liquidity and how useful accounting ratios are

Answer 1 of 4 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the importance of good internal and external communication to *TBTS*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Internal communication can be between owners and employees. • External communication can be between owners and various stakeholders such as suppliers and customers. **AO2** • *TBTS* need to make sure all employees are aware of the toys it sells and the aims of the business. • *TBTS* can use various external methods to communicate with its suppliers of toys and wooden materials. **AO3** • It can create better relationships leading to lower staff turnover and making them feel more valued and part of a team. • Good communication with its suppliers could lead to improved relationship between *TBTS* and its suppliers as it keeps them up to date with its business activity. **AO4** • However, communication has to be good for all employees or some may feel left out leading to animosity between the employees. • However, if the communication is poor the relationship would not work and *TBTS* could find that it loses suppliers.	**(12)**

Type MS · Liquidity and how useful accounting ratios are

Answer 1 of 4 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Liquidity and how useful accounting ratios are

Answer 1 of 4 · Question 4 part b · 6 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Liquidity and how useful accounting ratios are

Answer 2 of 4 · Question 3 part a · 1 mark

2020 NOV · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**AO1 = 1 mark** Award 1 mark for the correct definition of liquidity. • Liquidity is how easily a business can change its assets into cash (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**AO2 = 2 marks** Award 1 mark for identifying a possible financial objective *TADS* might have. One further mark for outlining it in the context of the business. • Ollie is looking to increase his profits (1). He could do this by increasing the number of instruments taught (1).	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 – 2 marks** Net cash flow = 7 000 – 3 000 = 4 000 (1) Closing balance = 4 000 + 4 000 = 8 000 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Liquidity and how useful accounting ratios are

Answer 2 of 4 · Question 3 part a · 1 mark

2020 NOV · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **A02** • If *TADS* has sufficient cash it can pay its electricity bills for the music studio. • If *TADS* runs out of cash it means it cannot pay its music teachers. **A03** • If *TADS* cannot afford to pay its bills, then the electricity would be cut and no lessons could take place. • If *TADS* can no longer pay its teachers, it cannot offer any music lessons.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Liquidity and how useful accounting ratios are

Answer 2 of 4 · Question 3 part a · 1 mark

2020 NOV · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Teaching other musical instruments will bring in new music students and revenue. • Option 2 – By offering online lessons more students will be able to take drum lessons and therefore increase revenue. **AO3** • Option 1 – This would increase its target market due to the wider range of musical instruments being offered leading to an increase in revenue. • Option 2 – This would increase revenue as more students can be taught at the same time in different locations around the country and the world. **AO4** • Option 1 – However, although this may lead to more revenue for the business it would need to find and pay additional teachers to provide this service. • Option 2 – However, there could be technical issues that might lead to lessons being interrupted and not delivered, giving *TADS* a bad reputation.	**(9)**

Type MS · Liquidity and how useful accounting ratios are

Answer 2 of 4 · Question 3 part a · 1 mark

2020 NOV · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7–9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Liquidity and how useful accounting ratios are

Answer 2 of 4 · Question 3 part a · 1 mark

2020 NOV · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Liquidity and how useful accounting ratios are

Answer 3 of 4 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 1 of 4 · find part b in this mark scheme extract

4 (a)	**AO2 - 2 marks** 800/ 2 400 x 100 **(1)** = 33 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Backyard Shoez* can use the information to work out how much profit they have made from buying and selling shoes and compare it to previous years. • Profitability ratios can help *Backyard Shoez* see if there is a need to take out any short term sources of finance. **AO3** • By using profitability ratios *Backyard Shoez* can see their financial position before they are set to expand to work out whether it is the right business decision to make or not. • Profitability ratios give investors the crucial information they need to weigh up the amount that they will receive from their investment compared to the risk they are going to take.	**(6)**

Type MS · Liquidity and how useful accounting ratios are

Answer 3 of 4 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 2 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Liquidity and how useful accounting ratios are

Answer 3 of 4 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 3 of 4 · find part b in this mark scheme extract

Question Number	Indicative Content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Market research can be conducted by the business itself in the form of a questionnaire. • The business could chose to use other methods that suit their business like focus groups. **AO2** • *Backyard Shoez* could question customers in the mall on their needs and wants for shoes. • *Backyard Shoez* will be able to speak directly to customers who buy their shoes who will then feel valued. **AO3** • Therefore, using primary market research *Backyard Shoez* can find out exactly what they need and work out ways of meeting those needs. • Focus groups will give *Backyard Shoez* qualitative data which can help with the design of new shoes. **AO4** • However, it can be time consuming to find out what customers' needs are and if these are already being met by the competitors in the local area then no amount of market research will help them to target their new audience. • However, without doing secondary market research as well then *Backyard Shoez* cannot find out wider research such as information on competitors and suppliers.	**(12)**

Type MS · Liquidity and how useful accounting ratios are

Answer 3 of 4 · Question 4 part b · 6 marks

2019 JUN · Paper 01 · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5 – 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	9 – 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Age** **A** is not the correct answer as skills are not protected by legislation **C** is not the correct answer as experience is not protected by legislation **D** is not the correct answer as ability is not protected by legislation	**(1)**

Question Number	Which **one** of the following represents a star product on the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - High market growth, high market share** **B** is not the correct answer as it is a question mark product **C** is not the correct answer as it is a cash cow product **D** is not the correct answer as it is a dog product	**(1)**

Question Number	Which **one** of the following is the method of production where one unit of output is completed at a time? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Job** **A** is not the correct answer as lean is focussed on cutting out waste **B** is not the correct answer as flow is continuous production of the same product **C** is not the correct answer as batch is the production of a batch of one unit before moving on to the next	**(1)**

Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a current asset? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B - cash** **A** is not the correct answer as a vehicle is a non-current asset **C** is not the correct answer as a building is a non-current asset **D** is not the correct answer as a factory is a non-current asset	**(1)**

Question Number	Which **one** of the following is the total cost in euros when buying 20 dog collars from the UK? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C - €630.95** **A** is not the correct answer as €22.56 is £26.50 x €0.84 **B** is not the correct answer as €445.20 is (£26.50/€0.84) x 20 **D** is not the correct answer as €513.20 is (£26.50 - €0.84) x 20	**(1)**

Question Number	Which **one** of the following is the total monthly cost for *PPS*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A - €692.50** **B** is not the correct answer as €931.50 is €54 x €17.25 **C** is not the correct answer as €2137.50 is (€54 + €17.25) x 30 **D** is not the correct answer as €2312.50 is ((€54 + €17.25) x 30) + 175	**(1)**

Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Define the term **robotics.** Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **robotics**. • Robots carry out manufacturing process with no human involvement **(1)**	**(1)**

Question Number	Define the term **capital intensive production** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **capital intensive production**. • Production methods that use machinery more than labour **(1)**	**(1)**

Question Number	State **one** extension strategy *PPS* could use to extend the life cycle of the pet accessories. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for an extension strategy *PPS* could use to extend the life cycle of its pet accessories. • *PPS* could change the design of a dog jacket **(1)** • *PPS* could redesign UK dog collars **(1)** **NB** Do not accept an extension strategy that is not in the context of *PPS.* **Accept any other appropriate response.**	**(1)**

Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Calculate the new hourly minimum wage after the increase of 3.5%. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 7.45 x 0.035 = 0.26 **(1)** 7.45 + 0.26 = 7.71 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** reason why many businesses have a human resource function. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses have a human resource function, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • To recruit employees **(1)** by identifying a vacancy in the business **(1)** and finding the right person for that vacancy **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Analyse the usefulness of the gross profit margin to *PPS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The gross profit margin in 2022 was 25.6% and in 2023 29.4% • Between 2022 and 2023 the GPM increased by 3.80% **AO3** • *PPS* can see that the increase indicates a healthy financial position with a positive increase and this may help in business decisions they have to make for following years • Figures such as this can be used to compare year on year performances and check changes in profitability	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
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Type MS · Liquidity and how useful accounting ratios are

Answer 4 of 4 · Question 1 part g · 6 marks

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Question Number	State **one** advantage for *PPS* of keeping its customers loyal. **Answer**	**Mark**